



PATIO

The Art of Outdoor Living
Historical and Forecast

CC PATIO FACTORY APRIL 2025



Executive Summary²

CCPATIO's strategic investment in factory expansion, including the acquisition of multiple electric and gas ovens, strengthens its ability to capitalize on robust sales and achieve ambitious growth projections.

Despite facing hurdles in the permitting process, particularly for the gas ovens, this expansion enhances production capacity and positions the company for continued success. This takes the previous maximum capabilities from 5MM in revenues to 50MM annually.

Key Highlights:

- **Increased Production Capacity:** New, state-of-the-art gas ovens will enable a dramatic increase in output, from 10 racks of furniture per day to 15 racks per hour.
- **Enhanced Efficiency:** Automation and streamlined processes will allow for a 10x increase in production with only a 3x increase in labor costs.
- **Improved Profitability:** Projected net profit margins are expected to rise from 11.5% to 20%+ with the higher throughput capabilities.



Company³ Overview

A Legacy of Craftsmanship & innovation

Scottsdale-based designer and manufacturer of high-end custom outdoor furniture.

Committed to using premium materials, advanced manufacturing and exceptional customer service.

New state-of-the-art manufacturing facility built with Accelerated Production principles for increased capacity and efficiency.

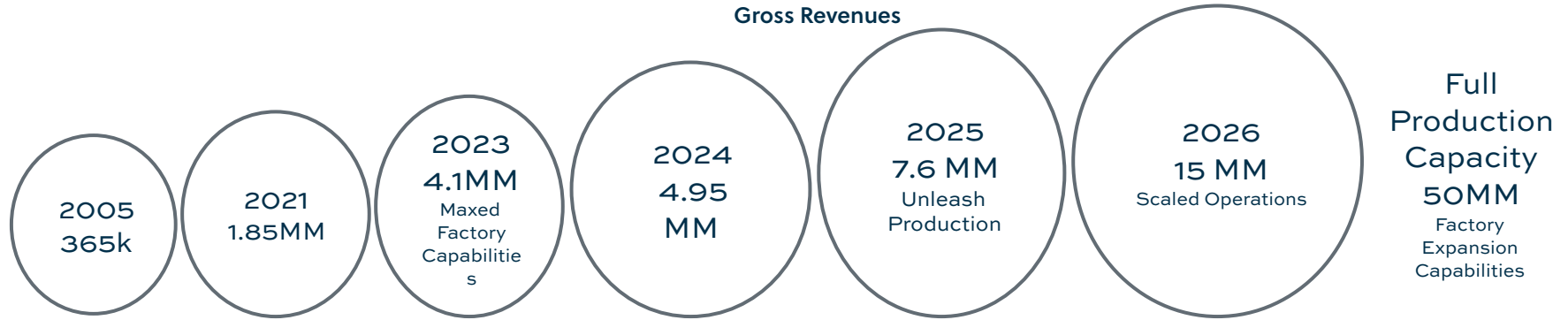
Poised to become a dominant player in the outdoor furniture market.

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Financial Impact ⁴ Unleashed Production



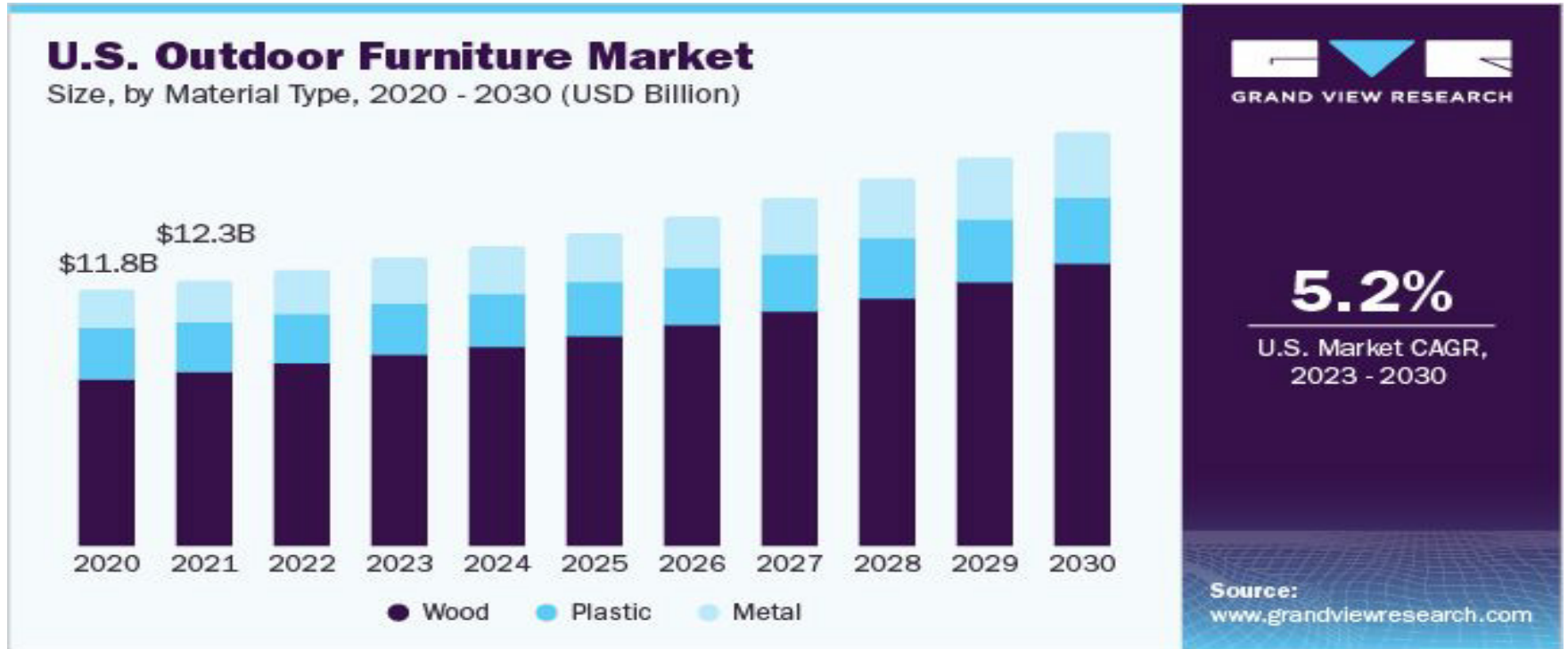
CCPATIO Revenues have been on an upward trend, in 2023 it reached it max throughput due to equipment limitations, new modern equipment will continue this trend.

Manufacturing can now match sales forecasts with an increased ability produce 5x more product with the new facility and equipment capabilities.

Sales has historically been throttled back due to production capabilities, it's time to unleash and throttle forward!

Industry Compound Annual Growth Rate

CC Patio Factory Optimized to capture this market share



What Makes Us Unique

- Ground up build, optimized specifically for metal fabrication & manufacturing capabilities
- Extensive Range of custom-designed outdoor furniture
- Premium Materials; Sunbrella Materials, Dekton Surfaces, powder-coated welded metal frames
- Unparalleled customization options to meet demanding preferences
- American Made with American Workers and American Vendors at competitive pricing
- Value-Added Services include an expert design consultation with white-glove delivery & Installation



Growth Strategy⁸

Ability to scale operations to meet pent up historical demand is now capable with our new facility.

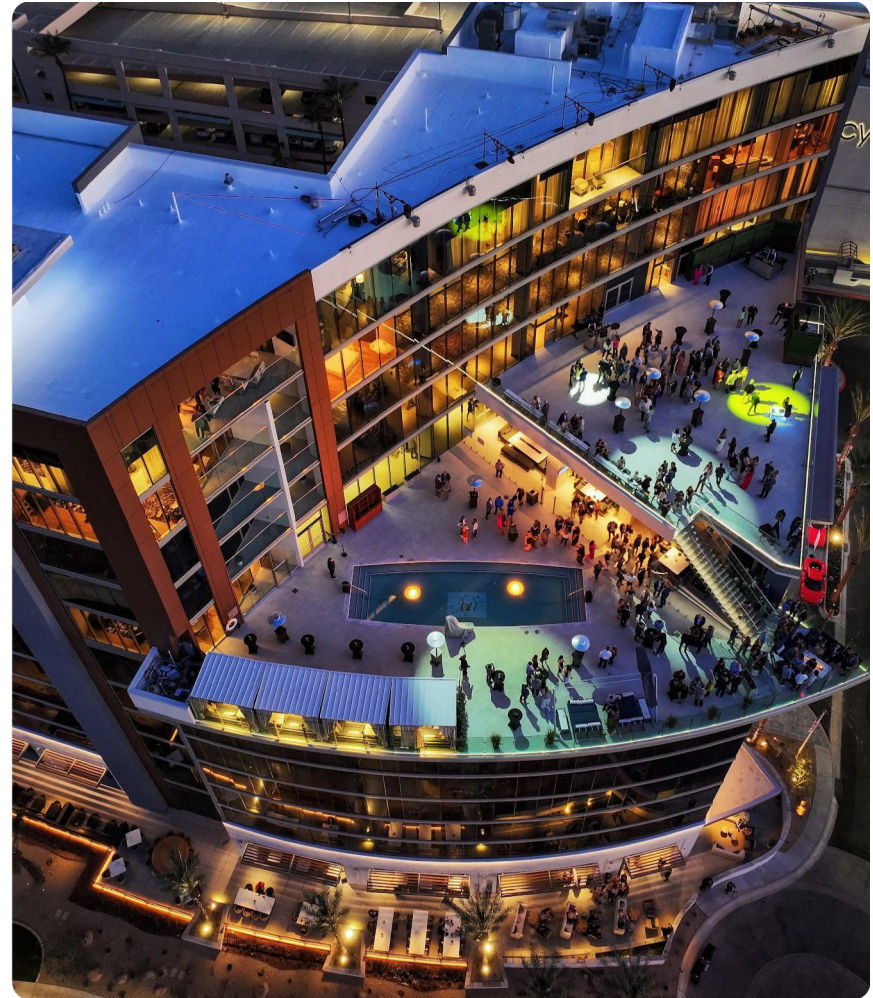
Ability to focus on Commercial and Trade Partners at larger contracts will minimize smaller B2C customer base and increase B2B business

No shortage of skilled labor in the Phoenix Market to match Production requirements

Trade Partners in the hospitality industry or gearing up, Choice Hotels, Hilton and the local Scottsdale Resort Community are in talks for this new ability and shorter lead times for production.

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Operations Plan₉

Built for Efficiency and Scalability

State-of-the-art facility with advanced manufacturing technologies

Lean Manufacturing Principles for optimized workflows and waste reduction

Rigorous quality control procedures

Efficient inventory management and supply chain

Modern CRM, ERP and added CPQ native integrated technologies implemented for the entire product lifecycle allowing for real time KPI management and shift fires



B2B FOCUS¹⁰

Increase in B2B vs B2C deal making opportunities

Exclusive benefits for trade professionals (discounts, dedicated support, access to to:

- Networking opportunities

- Dedicated Online Portal for easy ordering

- Dedicated Online Portal for project management

- Focus on building long-term relationships



CC Patio Scottsdale LLC

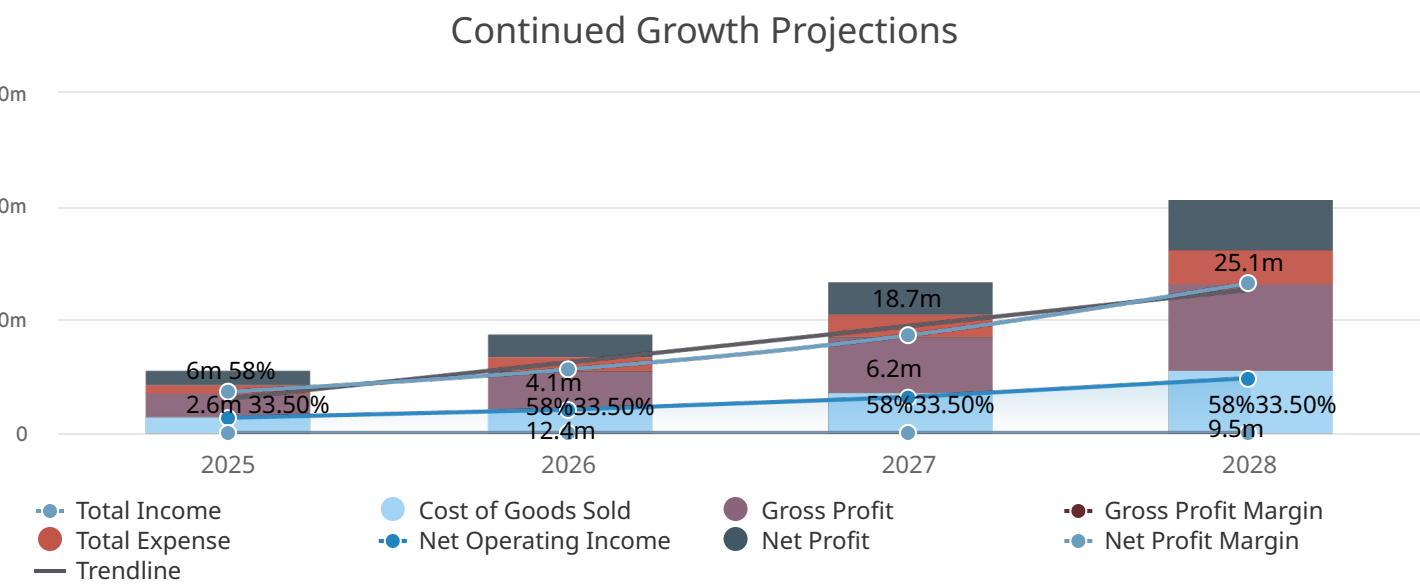
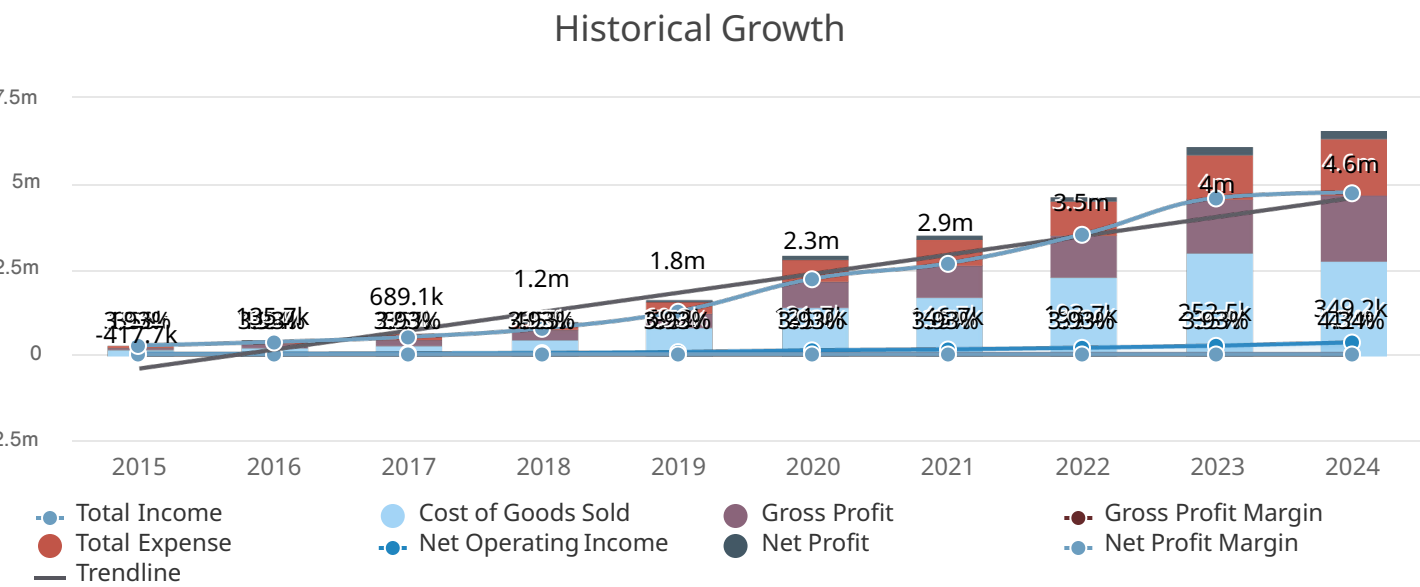
KEY NUMBERS ANALYSIS

Prepared 4/3/2025



This Report offers a thorough overview of our financial journey from 2015 to 2024, with datasets and graphs showcasing our past performance and key milestones. We also present our current financial standing for 2025 and insightful projections extending beyond 2028, grounded in careful analysis and strategic plans. This information is vital for understanding our growth trajectory, equipping our esteemed investors with the transparency essential for informed decision-making. We will analyze our financial performance, highlighting our progress through the past decade with illustrative charts and graphs. We will present an overview of our 2025 financial status and the factors affecting our operations. Additionally, detailed projections to 2028, based on careful analysis and strategy, will offer insights into our expected trajectory and profitability, aiding informed investment decisions.

All Revenue & All Costs Trend



Forecast

	2024 2025 To Target			2026	2027	2028
Total Income	4,714,204	7,293,038	↑ 2,578,834	11,237,218	17,261,733	26,454,569
Cost of Goods Sold	2,832,667	3,087,872	↑ 255,205	4,757,838	7,308,618	11,200,865
Gross Profit	1,881,538	4,205,166	↑ 2,323,628	6,479,380	9,953,115	15,253,704
Gross Profit Margin	40%	58%	↑ 18%	58%	58%	58%
Total Expense	1,637,583	1,612,491	↓ -25,092	2,484,549	3,816,569	5,849,105
Net Operating Income	243,954	2,631,328	↑ 2,387,374	4,054,388	6,228,033	9,544,808
Net Profit	194,170	2,443,168	↑ 2,248,998	3,764,468	5,782,681	8,862,281
Net Profit Margin	4%	34%	↑ 29%	34%	34%	34%

EXECUTIVE SUMMARY

CCPATIO's strategic investment in factory expansion, including the acquisition of multiple electric and gas ovens, strengthens its ability to capitalize on robust sales and achieve ambitious growth projections. This takes the previous maximum capabilities from 1MM in revenue in through-put to well over 5MM monthly.

Key Highlights:

Increased Production Capacity: New, state-of-the-art gas ovens will enable a dramatic increase in output, from 10 racks of furniture per day to 15 racks per hour.

Enhanced Efficiency: Automation and streamlined processes will allow for a 10x increase in production with only a 3x increase in labor costs.

Improved Profitability: Projected net profit margins are expected to rise from 11.5% to 20%+ with the higher throughput capabilities.

Profit and Loss

Rolling Forecast

CC Patio Scottsdale LLC

	2025 Budget Actual	2026 Budget Actual	2027 Forecast Actual	2028 Budget Actual
Income				
Accessory Sales	103,529	122,441	144,807	171,259
Discounts/Refunds	-617,075	-729,796	-863,107	-1,020,770
Furniture Sales	7,728,728	11,752,496	17,871,136	27,175,292
Services Income	21,954	25,964	30,707	36,316
Shipping & Delivery Income	84,781	100,268	118,584	140,246
Unapplied Cash Payment Income	-28,880	-34,155	-40,394	-47,773
Total Income	7,293,038	11,237,218	17,261,733	26,454,569
Cost of Goods Sold				
Cost of goods sold	2,262	580	440	428
Cost of Labor	1,056,285	1,589,845	2,894,990	4,502,410
Cushions Labor	148,306	175,397	207,437	245,330
Dekton Labor	75,959	89,834	106,244	125,651
Delivery Labor	72,392	85,615	101,255	119,751
Indirect Labor	178,528	211,140	249,709	295,323
Metal Labor	201,824	238,691	282,292	333,858
Payroll Taxes	197,669	233,777	276,480	326,985
Powder Coat Labor	77,043	91,117	107,761	127,445
Warranty Labor	-68,081	-80,518	-95,226	-112,620
Total Cost of Labor	1,939,925	2,634,898	4,130,942	5,964,132
Factory Overhead		80,000	250,000	500,000
Factory Miscellaneous	38,689	45,756	54,114	134,960
Factory Rent	109,499	129,501	153,156	181,133
Factory Repairs & Maintenance	18,122	21,432	25,347	29,977
Factory Supplies	20,745	24,534	29,016	34,316
Factory Utilities	103,579	122,500	144,877	171,341
Factory Vehicle Expenses	30,641	36,238	42,858	50,687
Total Factory Overhead	321,274	459,961	699,368	1,102,414
Raw Materials / Consumables	176,434	471,434	176,434	176,434
Dekton	117,350	138,786	1,015,660	1,986,884
Fabric	76,306	90,245	106,730	126,226
Foam	251,847	297,851	352,259	416,606
Metal	271,426	321,007	379,645	448,994
Miscellaneous	9,749	11,530	13,636	16,127

The information contained in this report is provided for informational purposes only and is not intended to substitute for obtaining accounting, tax, or financial advice from a professional accountant. Any tax advice contained in this report is not intended to be used for the purpose of avoiding penalties under tax law. While we use reasonable efforts to furnish accurate and up-to-date information, we do not warrant that any information contained in or made available through this report is accurate, complete, reliable, current or error-free. We assume no liability or responsibility for any errors or omissions in the content of this report or delivered information.

Profit and Loss Rolling Forecast

CC Patio Scottsdale LLC

	2025 Budget Actual	2026 Budget Actual	2027 Forecast Actual	2028 Budget Actual
Powder Coat/Assembly	58,221	68,856	81,434	96,309
Total Raw Materials / Consumables	961,332	1,399,708	2,125,797	3,267,581
Retail Items COGS		350,000	150,000	300,000
BBQs	5,865	6,937	8,204	9,702
Covers	75,090	88,807	105,029	124,214
Lamps/Heaters	4,772	5,644	6,675	7,894
Ledge Lounger	46,780	55,325	65,432	77,384
Other Retail Products	14,750	17,444	20,630	24,399
Umbrellas/Shade Systems	44,465	52,587	62,193	73,554
Total Retail Items COGS	191,722	576,743	418,162	617,147
Shipping	116,938	188,625	304,259	490,780
Total Cost of goods sold	3,533,453	5,260,516	7,678,969	11,442,483
Total Cost of Goods Sold	3,533,453	5,260,516	7,678,969	11,442,483
Gross Profit	3,759,585	5,976,702	9,582,763	15,012,086
Expense				
Advertising & Marketing	208,770	246,906	1,001,609	1,610,333
Automobile Expenses	78,157	92,433	464,119	548,899
Bank Charges	2,787	3,296	3,898	4,610
Cleaning Expense	11,472	13,567	16,046	26,073
Contract labor	83,505	98,759	130,992	197,496
Insurance	96,880	114,577	135,507	174,452
Interest Expense	6,984	8,259	9,768	11,552
Meals & Entertainment	25,495	30,153	35,661	56,367
Merchant Fees	112,329	132,848	171,307	245,175
Total Merchant Fees	112,329	132,848	171,307	245,175
Office Supplies	10,899	10,529	117,057	166,824
Postage & Shipping	359	425	503	14,787
Printing & Reproduction	1,272	1,504	15,971	47,273
Rent -Showroom	239,653	239,653	239,653	263,653
Repairs & Maintenance	9,497	9,497	9,497	33,497
Sales Commissions	202,597	239,605	283,373	1,044,738
Sales Tax Adjustments	41,903	49,557	58,610	83,508
Software & Apps	15,933	18,844	22,286	26,357
Telephone & Internet	15,919	18,827	29,362	63,109

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Profit and Loss
Rolling Forecast cc
Patio Scottsdale LLC

	2025 Budget Actual	2026 Budget Actual	2027 Forecast Actual	2028 Budget Actual
Travel	33,892	40,083	47,405	70,257
Utilities	24,324	28,767	90,790	149,951
Total Expense	1,852,228	2,120,557	3,759,141	5,820,007
Net Operating Income	1,907,356	3,856,144	5,823,623	9,192,079
Net Profit	1,886,688	3,835,475	5,802,954	8,871,410

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